

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 1176

By: Hall and Haste of the
Senate

and

Caldwell (Trey) and Kane of
the House

COMMITTEE SUBSTITUTE

An Act relating to the Oklahoma Water Resources Board; creating the Water and Wastewater Infrastructure Investment Program; directing rule promulgation; providing for clawback of funds; defining terms; creating the Water and Wastewater Infrastructure Investment Revolving Fund; stating purpose of fund; establishing fund source; authorizing certain expenditure; providing for codification; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified in the Oklahoma Statutes as Section 1085.66 of Title 82, unless there is created a duplication in numbering, reads as follows:

A. 1. The Oklahoma Water Resources Board shall establish and administer a Water and Wastewater Infrastructure Investment Program. The program shall include development of competitive loans for

1 eligible entities seeking to develop and implement water and
2 wastewater improvement projects, including, but not limited to,
3 incentivizing planning for water and wastewater infrastructure for
4 workforce housing development and commercial site readiness. The
5 Board shall promulgate rules to effectuate the provisions of this
6 act and loan criteria for the program.

7 2. For the purposes of this section, "eligible entity" or
8 "eligible entities" means an eligible entity as defined pursuant to
9 Section 1085.32 of Title 82 of the Oklahoma Statutes. However, the
10 Board may allocate funds to private citizens or entities for
11 environmental compliance and management programs.

12 B. All loans authorized pursuant to the provisions of this act
13 shall include a clawback provision in the funding agreement with an
14 eligible entity. For the purposes of this subsection, a "clawback
15 provision" shall mean a condition precedent to participate in the
16 program whereby a loan recipient agrees in writing to reimburse the
17 program all, or any part of, the loan disbursed to the recipient
18 upon the failure of the recipient to fulfill loan contract terms.

19 SECTION 2. NEW LAW A new section of law to be codified
20 in the Oklahoma Statutes as Section 1085.67 of Title 82, unless
21 there is created a duplication in numbering, reads as follows:

22 A. 1. There is hereby created in the State Treasury a
23 revolving fund for the Oklahoma Water Resources Board to be
24 designated the "Water and Wastewater Infrastructure Investment

1 Revolving Fund". The fund shall be a continuing fund, not subject
2 to fiscal year limitations, and shall consist of all monies
3 appropriated to the fund by law. All monies accruing to the credit
4 of the fund are hereby appropriated and may be budgeted and expended
5 by the Board for the purposes provided in this act. The Board may
6 enter into contracts with financial institutions and execute such
7 instruments as may be necessary to hold and disseminate loan funds
8 in accordance with applicable regulations and Board policies.

9 2. Notwithstanding any other provisions of law, principal and
10 interest income and repayment of principal on loans made from the
11 balance of the fund shall accrue to the fund.

12 B. The Board shall have full discretion of all monies within
13 the fund for enhancements, leveraging, and reserve capacities for
14 the Board loan and grant programs, system evaluation and risk
15 assessment assistance, and long-range infrastructure planning.

16 SECTION 3. This act shall become effective July 1, 2026.

17 SECTION 4. It being immediately necessary for the preservation
18 of the public peace, health or safety, an emergency is hereby
19 declared to exist, by reason whereof this act shall take effect and
20 be in full force from and after its passage and approval.

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